

**Draft for exact-file review**

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ARU election cooperation and filing-status workpaper draft

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1. Case and review basis

The ARU tax memorandum, closing delivery register and financial source establish an intended joint section 338(h)(10) election subject to eligibility and filing evidence. The source records a March 2, 2026 internal filing-ready review as ARU-CL-07. That is the latest status established by those records; the preparation of this September workpaper does not turn it into submission.

SHIH is the accepted purchasing corporation and ARU the target. The legal stock acquisition date is January 7, 2026. Fred Tolman, Adele Tolman, Nora Ashcombe and Seth Kettering are the four accepted pre-close sellers, holding 60%, 20%, 10% and 10%. Their synthetic eligibility and cooperation assumptions remain assumptions rather than authenticated government records. BS&T retains its separate legal and operating identity notwithstanding the case's pre-close QSub treatment.

2. Narrow official-reference check

The IRS instructions describe a joint section 338(h)(10) election and require participation by all shareholders when the target is an S corporation. They state an ordinary filing deadline on the fifteenth day of the ninth month following acquisition. Applying that stated rule to the accepted January 7, 2026 acquisition gives the already tracked October 15, 2026 date. This is a source-based calendar calculation, not a finding that eligibility, signatures or timely delivery exist. IRS Form 8023 instructions, October 2023 revision, reviewed September 12, 2026.

Form 8883 is the IRS allocation reporting instrument associated with the section 338 asset-acquisition treatment; its instructions should be consulted for the applicable reporting parties and return attachments. The internal allocation below is not a completed Form 8883. [IRS Form 8883 instructions, October 2017 revision](#), reviewed September 12, 2026. Official sources govern actual requirements; this packet supplies no legal or tax opinion and does not reproduce a government form.

3. Proposed election-cooperation agreement

Subject to separate acceptance, SHIH and the four verified sellers would cooperate to prepare, review and, if eligibility and authority are confirmed, complete the intended joint election. Each party would provide information within its control needed to identify the acquisition, ownership, authority and agreed allocation. A party would promptly identify a material discrepancy rather than execute a statement known to conflict with its records.

The parties would designate the ARU Controller as the internal coordination owner and a qualified tax reviewer as the technical review owner. Coordination would not authorize the Controller to sign for a seller, certify another person's eligibility or waive a filing requirement. Each seller's verified signing capacity and applicable authority would be documented separately. A record that a signature packet was supplied internally would be indexed as such, not copied into a fictional IRS acknowledgment.

Proposed review timing is five business days for a party to identify discrepancies after receiving a complete review packet, with unresolved items escalated immediately if they jeopardize the tracked deadline. This is a new proposed coordination term, not a historical contract duty or an extension of any filing deadline. Silence would not be deemed consent, signature or proof of eligibility. An incomplete packet would state what is missing and who can supply it.

The parties would preserve consistent versions of the agreed acquisition facts and allocation workpaper. A change would identify the source, affected amount, reason, reviewer and consequences for each party's reporting. Neither party would require the other to use an unsupported value merely to preserve a desired tax result. Any disagreement would remain visible for qualified review before filing action.

4. Eligibility and authority review schedule

Review item	Established case input	Evidence or review still needed
Purchasing party	SHIH, Delaware C corporation	Authority and relevant tax identity in the proper controlled record
Acquired interest	100% of ARU stock on January 7, 2026	Matched acquisition instrument and ownership schedule
Target status	Valid pre-close S status assumed by the case	Underlying status/continuity support for any external assertion
Seller perimeter	Four named individual sellers totaling 100%	Complete reviewed participation and signing evidence

Review item	Established case input	Evidence or review still needed
Economic class	One identical common economic class assumed	Source review for inconsistent side rights or arrangements
BS&T treatment	Pre-close QSub assumption and continuing legal corporation	Qualified review of applicable termination/reporting mechanics
Packet state	ARU-CL-06 supplied internally; ARU-CL-07 filing-ready	Actual submission evidence remains unestablished

The reviewer would record each conclusion as supported by the case, independently evidenced, conditional, conflicting or unavailable. These categories would apply to individual assertions, not to a single blanket “tax complete” status. Missing evidence would not undo the accepted legal acquisition, but could prevent use of the intended tax-basis result.

5. Filing control and delivery workpaper

Before any authorized submission, the coordinator would identify the current official instructions, applicable deadline, correct recipients and the exact reviewed packet. A controlled submission copy would have a version, document inventory and reviewer authorization. This public workpaper does not contain tax identification numbers, private signatures or operational delivery instructions; the absence of those details prevents it from being mistaken for a ready-to-file packet.

The delivery record would distinguish preparation, technical review, authorized signature, dispatch, transmission or carrier evidence, receipt acknowledgment and any subsequent agency correspondence. Each event would carry its actual date, source reference and responsible person or role. No later event could be inferred merely because an earlier one was completed. A transmitted packet would not automatically establish a valid election, and an internally completed checklist would not establish transmission.

If evidence is unavailable, the coordinator would record the specific missing event and request the relevant original from its custodian. If the deadline appears at risk, the matter would be escalated for qualified advice; this draft offers no assumed extension, relief entitlement or backdated signature. The preserved source status would remain filing-ready unless an accepted source supports a later event.

6. Allocation and accounting workpaper

Selected model measure	USD	Basis and limit
Buyer stock consideration	48,000,000	Accepted closing bridge
Recognized assumed liabilities in tax model	20,000,000	Conditional tax allocation classifications
Modeled adjusted grossed-up basis	68,000,000	\$48M + \$20M

Selected model measure	USD	Basis and limit
Other tax asset bases	55,000,000	Selected asset-basis schedule
Residual tax goodwill	13,000,000	\$68M – \$55M
Environmental and claim reserves	2,350,000	Excluded from opening tax purchase-price measure pending modeled treatment
Conditional reserve DTA	587,500	\$2.35M × modeled 25% rate
Identifiable book net assets	33,237,500	Includes conditional DTA in selected book PPA
Book goodwill	14,762,500	\$48M – \$33,237,500
Initial book goodwill excess over tax basis	1,762,500	Separate modeled initial-recognition treatment

The workpaper would reconcile these measures to the current source before review. The rows are a bridge, not amounts to add into one total. The \$2,350,000 reserves do not receive an automatic immediate deduction when paid, and the conditional DTA is not a tax refund. Source assumptions concerning eventual basis recovery, tax-owned leased assets, receivable basis and initial goodwill treatment must remain visible.

The model's economic January 1–6 stub would not be used as a tax-return cutoff merely because it appears in the closing bridge. The case's monthly tax calculations and quarterly cash conventions would be reconciled separately from the filing calendar. No source-based arithmetic check constitutes an audited accounting conclusion or a filed allocation.

7. Alternative outcome and correction clauses

If the intended election cannot be supported, Finance would preserve the accepted stock purchase and prepare a separately identified no-election or otherwise corrected tax-basis analysis. It would not erase the acquisition, reuse the elected-case tax goodwill without explanation or book a balancing tax asset. The alternative analysis is a required review response when relevant, not an assertion that a complete alternative workbook already exists.

A newly accepted filing-status record would identify the evidence it adds and exactly which prior uncertainty it resolves. It would not rewrite immutable releases or retrospectively change participant knowledge. Any affected financial successor would state source revision, changed assumptions and reconciliation effect. A new event cannot be created solely to make a document set look complete.

8. Completion and review record

The review copy would carry separate entries for source reconciliation, technical eligibility review, party authorization, execution readiness and external delivery evidence. All are uncompleted in this draft except the reproduction of the stated source inputs. The final reviewer would identify accepted and rejected proposed cooperation terms and any remaining exception.

No government seal, filing receipt, certificate, tax ID or signed form accompanies this packet. The usable deliverables are the proposed cooperation clauses, evidence schedule, filing-status workpaper and reconciled model bridge. Their approval for publication would not establish submission or accept new tax facts into canon.